

Risky Bet



- Does a business owner, who risks their own personal wealth to start a business, owe their workers any of the profits if successful?

Were they “robber barons” or “captains of industry”?

Textbook Example

Some Perceived Advantages

- Competition between companies results in low prices, higher quality, and wider selection of goods.
- Efficiency is encouraged in use of resources and the operation of companies to keep production costs low.
- Technology and innovation are encouraged.
- Workers and owners are motivated to earn money and make profits.
- The economy can respond quickly to change.
- When a company is doing well, it can afford to pay its workers well. When there is a shortage of workers, a company will pay higher wages to attract and keep them.